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Can populist economics coexist with pro-immigrant policies?

By: Dylan Matthews | 2020-01-15

Are social democratic policies like universal health care, free college, and perhaps a universal basic income compatible with large-scale immigration?

A handful of left-wing leaders are concluding you have to pick one. Jacinda Ardern, the internationally beloved 39-year-old prime minister of New Zealand, has substantially expanded her countrys welfare state, increasing paid parental leave from about four months to six months, and introducing a child allowance of about $2,000 for babies in the first year of their life. When Social Democrat Mette Frederiksen became prime minister of Denmark last year, she promised higher spending on health, education, day care, and other social priorities.

But Ardern has formed a coalition with the hardcore anti-immigration New Zealand First Party, and Frederiksen is among the most anti-immigrant leaders in the Western world, who supports forcing non-Western migrants to take lessons in Danish values and confiscating jewelry, money, and other valuables from refugees.

A commitment to bolstering the welfare state fused with immigration restrictionism is this the future of the left in the West? A new paper by Harvard economists suggests there are deep reasons rooted in public opinion why this could be the case.

The study, by Harvard economics professors Alberto Alesina and Stefanie Stantcheva, is part of a broader project in which they use large-scale online surveys to measure how voters support for redistributive policies are shaped by perceptions around immigration, social mobility, and other factors. They find that misperceptions about immigration are widespread, and mostly serve to reduce support for redistributive programs.

How misperceptions about immigration can undermine support for the welfare state

Alesina and Stantcheva are interested in how peoples perceptions of immigration how common it is, whos immigrating, whether they use welfare or not shape their views about welfare and redistribution more generally.

They begin by laying out a model for how voters decide how much taxing-and-redistributing they want to do.

When we decide how much to redistribute, how progressive the tax should be, the thinking is: Im putting some weight on everyone in the economy, measuring how much I value $1 given to Dylan, $1 given to Stefanie, Stantcheva told me, laying out the model. The weight we put mentally depends on many characteristics of those people: how poor they are, how hard they work, etc.

Voters often put a lower weight on immigrants welfare, which means the more immigrants they think are getting money from the government, the less likely they are to support redistribution overall. But the picture is more complicated than that. Alesina and Stantchevas model also assumes that voters put a low weight on freeloaders: people they perceive to be cheating the welfare system, as opposed to the deserving poor, who are getting benefits they ought to be receiving. If voters think that a higher share of immigrants than natives are freeloaders, that will also reduce support for redistribution.

Misperceptions and biases against immigrants can interact and reinforce each other, Alesina and Stantcheva write. If the bias against immigrants is already high even a small over-estimation of the share of free-loaders among immigrants can tilt preferences towards less redistribution. Similarly, if the bias against immigrants is high (or if the perceived share of free-loaders is high), even a small overestimation of the share of immigrants can reduce support for redistribution.

And what their survey work with Armando Miano finds is that these kinds of misperceptions are incredibly common, and especially common among people disposed negatively toward immigration. They sampled about 24,000 people in six countries (the US, UK, France, Germany, Italy, and Sweden) for their views on immigrants and redistribution. They found that in each country, voters overestimated the share of immigrants in the population; in the US, only 10 percent of people are legal immigrants, but respondents guessed the number was 36 percent. Respondents also underestimated the education level and overestimated the welfare reliance of immigrants; they overestimated the share of Muslim immigrants and underestimated the share of Christians.

In short, the misperceptions that there are many immigrants, and that they are likely to be freeloaders are a perfect cocktail for reducing support for redistribution, according to Alesina and Stantchevas model.

These misperceptions were concentrated among respondents with little education, who tended to work in sectors more exposed to immigrants, and who were right-wing. Moreover, offering respondents accurate information in the hope of correcting misperceptions surrounding the number of immigrants and their welfare usage did not change the views of skeptics: If anything, it makes the immigration issue more salient, which reduces support for redistribution.

Indeed, the point about salience is important. Just mentioning immigration before asking about redistribution reduced the share of respondents expressing support for redistribution, with the biggest drop occurring among right-wing respondents with already negative views of immigrants.

How can supporters of immigration and redistribution respond?

Stantcheva stresses that her and Alesinas work is descriptive, not normative. Theyre not aiming to condemn people with misperceptions about immigration

or argue for increased immigration; theyre just trying to put together an accurate model of how peoples opinions on the topic are formed.

And its worth emphasizing that there is a real gap between public opinion and government policy. Policies with majority public support are often not enacted, and policies with strong public opposition are sometimes enacted, so explaining why voters feel a certain way about immigration is not sufficient to explain why a government has become more or less sympathetic to immigration.

But the roots of public opinion still shape how parties form their platforms and create limits on how far they can move in support or opposition to redistribution and immigration. Understanding at the more macro level why some things are happening [to policy] now in Western Europe and the US might be easier if we understand the micro level, Stantcheva says.

One way left parties might respond is the way Denmarks Frederiksen and, to a lesser degree, New Zealands Ardern have responded: by tacking right on immigration and explicitly prioritizing welfare state expansion over immigrant rights given that there appears to be some kind of trade-off between them.

The opposite approach would be to do a moderate version of what libertarian advocates of expanded immigration urge: curtailing the welfare state, at least for immigrants, as a price of maintaining high levels of migration.

Both of those strategies might run aground of another of Stantchevas findings: that, especially in the US, attitudes on both redistribution and immigration are so polarized by party that theyre not easily decoupled. The views on redistribution and immigrants are quite correlated, she says. Republicans and Democrats have very different views on both.

A more modest intervention might be trying to promote higher educational attainment. Alesina and Stantcheva find that misperceptions about immigrants are highest among people with less education, and a recent paper by political scientists Charlotte Cavaille and John Marshall found that the introduction of mandatory schooling laws in Europe causally reduced opposition to immigration. That is, its not just that the kind of people who like immigrants are the same people who go to school for longer; making people go to school for longer actually makes them less nativist.

But were really in the early stages of even understanding how anti-redistribution and anti-immigrant sentiments interact, and identifying effective policies to move opinion in one direction or another is exceedingly difficult given what we know.

Making policy recommendations, were too far away now, Stantcheva emphasizes. We just want to draw a map of what people think about, and how they respond.

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